PROPERTY TAX BILL

Zephyr Cottages | Portland, OR

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Property	Zephyr Cottages
Tax Year	2022
Bill Date	October 26, 2020
Owner of Record	Zephyr Cottages Owner LLC
Site	5503 Orchard Parkway, Portland, OR 16550

Parcel Detail

Parcel ID	Description	Land Value	Improvements	Assessed Total	Mill Rate	Tax Due	Status
91-645-4295	Parking Lot	$146,052	$421,279	$567,330	33.43	$18,966	Paid
88-507-4539	Parcel Bldg A	$154,310	$336,714	$491,024	29.83	$14,648	Paid
30-279-9417	Parcel Bldg B	$159,580	$457,632	$617,212	18.14	$11,196	Paid
81-896-9687	Land & Impr.	$128,281	$266,086	$394,368	29.24	$11,530	Delinq.
90-907-4241	Common Area	$285,409	$540,418	$825,828	25.08	$20,710	Due
52-149-5079	Outparcel	$92,352	$436,764	$529,116	23.92	$12,658	Paid
49-972-9777	Outparcel	$172,417	$628,396	$800,813	25.67	$20,561	Paid
54-839-8129	Land & Impr.	$168,939	$756,696	$925,634	20.53	$19,007	Due
39-923-9046	Common Area	$131,892	$700,429	$832,321	27.90	$23,225	Paid
22-657-4383	Common Area	$63,267	$280,923	$344,190	30.76	$10,586	Delinq.
61-324-2874	Outparcel	$176,573	$536,688	$713,261	38.06	$27,150	Delinq.
93-420-9171	Parcel Bldg A	$240,177	$517,155	$757,332	36.61	$27,729	Paid
10-922-8188	Parcel Bldg A	$81,586	$204,096	$285,682	39.89	$11,395	Delinq.
37-354-7599	Parcel Bldg A	$146,416	$289,612	$436,028	22.48	$9,802	Due
25-297-6664	Outparcel	$68,739	$377,496	$446,235	40.02	$17,858	Delinq.
73-162-3962	Outparcel	$165,374	$290,932	$456,306	37.33	$17,034	Paid
53-482-1232	Parking Lot	$75,314	$320,649	$395,963	39.00	$15,443	Paid
90-893-3665	Parking Lot	$271,506	$465,564	$737,070	34.00	$25,058	Due
46-794-8813	Parcel Bldg A	$151,753	$282,216	$433,969	26.92	$11,684	Delinq.
74-430-6319	Common Area	$42,991	$231,927	$274,918	34.59	$9,508	Paid
44-118-8799	Parcel Bldg A	$127,373	$316,718	$444,090	24.55	$10,901	Due
30-116-9461	Common Area	$223,971	$616,604	$840,574	21.96	$18,457	Delinq.
86-722-8933	Land & Impr.	$158,672	$304,804	$463,475	31.72	$14,700	Paid
70-824-2979	Parcel Bldg B	$238,596	$729,737	$968,332	33.11	$32,066	Paid

Report generated 10/26/2020. Figures are unaudited and subject to change.

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Summary and Notes

Income and Expense Review

Effective gross income for the trailing period was $69,000, representing a 12.7% increase over the prior year. Homes average 1,527 square feet with average monthly rent of $2,091. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.33x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $113,000 per home, and the in-house maintenance team handles most work orders within 30 days.

Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $181,000, representing a 4.6% increase over the prior year. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses.

Property Operations

Collections for the period were 91.0% of billed charges, with bad debt of 4.3% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 24 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Homes average 1,527 square feet with average monthly rent of $2,091.

Service requests are tracked through a work-order system with an average completion time of 16 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 24th business day. Turn costs average $341,000 per home, and the in-house maintenance team handles most work orders within 2 days.

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